

Cboe Global Markets, Inc.
Second Quarter 2025 Earnings Call
August 1, 2025

Good morning and thank you for joining us for our second quarter earnings conference call. On the call today, Craig Donohue, our CEO, will discuss our performance for the quarter and provide an update on our strategic initiatives. Dave Howson, our Global President, will provide some comments as he hands his responsibilities to Chris Isaacson, our Chief Operating Officer, and Cathy Clay, our Global Head of Derivatives, who will join us for Q&A. We will conclude our prepared remarks with Jill Griebenow, our Chief Financial Officer, who will provide an overview of our financial results for the quarter as well as discuss our 2025 financial outlook. Following their comments, we will open the call to Q&A.

I would like to point out that this presentation will include the use of slides. We will be showing the slides and providing commentary on each. A downloadable copy of the slide presentation is available on the Investor Relations portion of our website.

Slide 3: Forward-Looking Statements

During our remarks, we will make some forward-looking statements, which represent our current judgment on what the future may hold, and while we believe these judgments are reasonable, these forward-looking statements are not guarantees of future performance and involve certain assumptions, risks and uncertainties. Actual outcomes and results may differ materially from what is expressed or implied in any forward-looking statements. Please refer to our filings with the SEC for a full discussion of the factors that may affect any forward-looking statements.

We undertake no obligation to publicly update any forward-looking statements, whether as a result of new information, future events or otherwise, after this conference call.

During the call this morning, we will be referring to non-GAAP measures as defined and reconciled in our earnings materials. Now, I'd like to turn the call over to Craig.

Slide 4: Craig Donohue, CEO

Good morning. Thank you for joining us today to discuss our second quarter results.

Slide 5: Record Revenue in Second Quarter

Having assumed the CEO role in early May, I have been impressed by the outstanding results Cboe delivered while navigating an evolving macro landscape as well as a variety of corporate developments.

During the second quarter, Cboe grew net revenue 14% year-over-year to a record \$587 million and adjusted diluted EPS by 14% to \$2.46.

These results were again driven by:

- 1) robust volumes across our derivatives franchise – both in multi-list and our proprietary index option products,
- 2) strong new sales growth in our Cboe Data Vantage business,
- 3) resilient industry volumes in our cash and spot markets, and
- 4) disciplined expense management.

Building on a theme we have seen gain traction in recent quarters; the second quarter strength was broad-based. All three categories – Derivatives Markets, Cash and Spot Markets, and Data Vantage – produced

double-digit net revenue growth on a year-over-year basis, contributing to record first half results for the firm.

Slide 6: Derivatives: Aligned with Cyclical and Secular Trends

Taking a closer look at the second quarter trends –

Our Derivatives franchise delivered a record quarter with organic net revenue increasing 17% year-over-year. Options volumes increased on the back of heightened market volatility as investors used options to help manage risk in a quarter marked by both sharp selloffs and even sharper rebounds.

In our multi-list options business, net transaction and clearing fees revenue was up a robust 32% given higher industry volumes and positive pricing trends.

In our proprietary products, SPX options volumes jumped 21% year-over-year to a new record average daily volume of 3.7M contracts, while mini-SPX options average daily volume rose 50% to a record 108k contracts.

Even more importantly, the second quarter demonstrated the full utility of our S&P 500 volatility toolkit as well as the resilience of our diverse customer base. As volatility surged in April, traders gravitated to our established SPX and VIX contracts for liquidity and market depth, with SPX options setting a single day record of 6M contracts on April 4th. Much of the increase in April came from institutional investors using index options to hedge – particularly longer-dated options which saw the biggest increase relative to other tenors.

While institutional activity was robust in April, retail traders pulled back, as evidenced by decreasing share of ODTE volume in April. While retail investors tend to step back when volatility jumps unexpectedly, as it did in April, they typically re-engage once volatility moderates, which is what we observed in May and June.

SPX ODTE volumes rebounded to new highs, ending June with a new record monthly ADV of 2.2M contracts. We've highlighted the resilience of SPX ODTE trading in the past and it's encouraging to see it reaffirmed once again last quarter. In the past year alone, we've seen the VIX index hit a high of 60 twice and SPX intraday volatility jump to a post-Global Financial Crisis high. Through it all, SPX ODTE options have continued to grow, propelled by wider adoption and new use cases. In Q2, they made up a record 57% of overall SPX options volume.

Looking ahead, we remain positive about the growth potential of options as an asset class and our proprietary index options franchise. Continued uncertainty regarding monetary and trade policy is expected to support the continued use of options to dynamically manage risk. Structural factors such as increasing retail participation and international expansion should provide further tailwinds. Anecdotally, we see encouraging signs from international brokers. They continue to expand access by extending trading hours, and by increasing functionality for complex and simple orders – across Cboe's proprietary index product set and a greater number of symbols. These efforts are well aligned with Cboe's initiatives to deliver education and local market intelligence to a global audience.

Slide 8: Unlocking Global Growth Potential

Moving to cash and spot markets, second quarter net revenue was up a strong 11% as our European cash equities business continued to drive robust performance for the category. Led by the strength in Europe, our Europe and Asia Pacific segment delivered the strongest year-over-year percentage growth of any Cboe segment for the fourth quarter in a row, achieving an impressive 30% increase.

The increase was driven by a 39% year-over-year growth in net transaction and clearing fees resulting from strong industry volumes and solid market share gains in Europe across our portfolio of products. Higher non-transaction revenues in the segment also contributed to the growth, with revenue up 21% year-over-year.

In other areas of global equities – last week, we announced the decision, subject to consultation with regulators, to close our Japan equities business on August 29th. This will include the Cboe Japan proprietary trading system and Cboe BIDS Japan business. This decision reflects our philosophy of directing resources to the highest potential return activities across our organization. Specifically, exiting the equities business and redeploying time, energy and investment dollars to supporting Japanese customers through our derivatives and market data capabilities. We continue to see great demand from Japanese market participants for access to international markets, U.S. and European market data, and our global derivatives products. To support these efforts, Cboe will maintain a presence in Japan focused on sales and client engagement.

Slide 9: Cboe Data Vantage: Driving Durable Growth

Turning to our Data Vantage business, net revenue for the category improved by 11% on a year-over-year basis. During the second quarter, we saw a positive contribution from all three major components of Data Vantage, with subscription-based data, analytics, and index products producing strong year-over-year gains.

Looking more closely at the second quarter dynamics, international demand remains a key driver of new data sales with roughly 45% occurring outside the U.S in the second quarter. We are looking to accelerate that growth with new hires to lead our market data sales as well as our analytics and indices businesses in the Asia Pacific region.

Beyond strengthening our sales capabilities, we're leveraging new technologies and developing new products to enhance our offerings. We're accelerating the migration of our derivatives data to the cloud and actively exploring new global access points where we see growing demand.

On the product front, we're leaning into the secular trend in derivatives-based ETFs while leveraging our expertise to create indices in partnership with our index providers and issuers.

On access, our dedicated cores offering, which provides superior performance and determinism, continued to perform well as we see the benefits of reallocating resources to revenue-enhancing activities.

The interconnectedness and importance of the Data Vantage business at Cboe should not be understated. Each enhancement to our market access layer, subscription-based data sales, and even real-time values from the Index business provide an ecosystem benefit to Cboe in the form of better customer engagement and improved activity levels for our trading businesses.

Before I conclude this portion of my remarks, I want to take a moment to sincerely thank Dave Howson for his contributions during his time here at Cboe. While we'll miss Dave, I also could not be more pleased to elevate Chris and Cathy, both of whom are strong and proven leaders here at Cboe. Cboe is on solid footing, and we are well positioned to deliver on the opportunities ahead, and now I'll turn the call over to Dave to say a few words.

Dave

Thank you, Craig. I just wanted to briefly take the opportunity to express my gratitude to all of my colleagues here at Cboe and our customers that have taught me so much over the years. I am proud to

have been part of such transformational change over the last twelve years as part of the Cboe and BATS management team and in particular the last three years as President. Over which time we've expanded our global presence through establishing a One Cboe mindset. The firm's success has been a collective achievement, as we've managed through a tremendous amount of change while laying the foundation for future success. I am grateful to be able to hand things off to such capable leaders in Chris and Cathy as I return home to the UK to be closer to family. I have known Chris and Cathy for 12 and 8 years, respectively. They are not only both long-time, close partners, but seasoned leaders and respected market practitioners with a track record of driving innovation in the industry.

And before I hand it over to Jill for the financial update, I want to say a heartfelt thank you to the analyst and investor community. I have enjoyed engaging with you all on earnings calls and numerous conferences over the years, and will truly miss our interactions. Now, I will turn the call over to Jill.

Slide 11: 2Q25 Financial Summary

Thanks, Dave. Cboe posted another strong quarter, with adjusted diluted earnings per share up 14% on a year-over-year basis to \$2.46. I will provide some high-level takeaways from this quarter's operating results before going through segment results.

Net revenue increased 14% versus the second quarter of 2024 to finish at a record \$587 million, with each of our categories producing healthy year-over-year growth. Specifically:

- Derivatives Markets net revenues grew 17%,
- Data Vantage net revenues grew 11%.
- And Cash and Spot Markets net revenues grew 11%.

Adjusted operating expenses of \$213 million were up 8% on a year-over-year basis. Adjusted operating EBITDA of \$387 million grew 19% and adjusted operating EBITDA margin expanded by 2.3 percentage points to 65.8% versus the second quarter of 2024 – reflecting strong performance across our businesses as well as disciplined expense management.

Slide 12: 2Q25 Net Revenue by Segment and Key Drivers

Turning to the key drivers by segment. Our press release and the appendix of our slide deck include information detailing the key metrics for our business segments, so I'll provide some highlights for each:

- The Options segment delivered its fourth consecutive quarter of record net revenue with 19% year-over-year growth.
 - Total options ADV was up 20%, with a 17% increase in index options volume and a 22% increase in multi-listed options volume.
- North American Equities net revenue was roughly flat on a year-over-year basis. Access and capacity fees increased 16% as compared to the second quarter of 2024, and industry volumes supported the transaction side of the businesses.
- Europe and APAC produced another quarter of record net revenue, with a 30% year-over-year increase reflecting particularly strong growth in Europe. Net transaction and clearing fees for the segment were up 39% while non-transaction revenues were up a combined 21%.
- Futures net revenue decreased 14% from the second quarter of 2024, primarily due to lower volumes.
- And finally, our Global FX segment also achieved another quarter of record net revenue, with 19% year-over-year growth driven by a 17% increase in average daily notional value.

Slide 13: Grew 2Q25 Data Vantage Net Revenue 11% YoY Organically

Looking at our Cboe Data Vantage business, net revenues were up 11% on an organic basis in the second quarter. Net revenue growth continued to be led by strong new subscription and unit sales, which

accounted for roughly three-quarters of the total net revenue growth for the quarter. The remaining growth was attributable to pricing changes, which continue to play a more modest role in our Data Vantage growth strategy. As Craig mentioned, we remain focused on scaling our product set by leveraging our advanced technology and differentiated product offerings. We believe these additions, combined with ongoing brand investments and a sharpened focus on sales outcomes, position Data Vantage for sustained, long-term growth.

Slide 14: 2Q25 Adjusted Operating Expenses

Turning to expenses, total adjusted operating expenses were \$213 million for the quarter and up 8% on a year-over-year basis. Higher compensation and benefits, depreciation and amortization, and technology support services expenses were partially offset by a year-over-year decline in travel and promotional as well as professional fees and outside services expenses.

Slide 15: 2025 Guidance

Moving to our 2025 guidance, we are lowering our full year expense guidance range to \$832 to \$847 million from \$837 to \$852 million. This decrease reflects our year-to-date operating discipline and the impact from our decision to close our Japanese equities business, partially offset by higher incentive compensation.

Regarding the wind down of our Japanese equities business:

- We expect to record an estimated pre-tax charge of approximately \$5 million in the third quarter of 2025, primarily related to non-cash impairment of indefinite-lived intangible assets and technology-related software. This charge is expected to be excluded from adjusted operating expenses.
- From an expense savings perspective, we expect the impact on adjusted operating expenses to be in the range of \$2 to \$4 million in 2025. Going forward, savings are expected to be in the \$10 to \$12 million range on a normalized annual basis.

Partially offsetting some of the lower expense components mentioned, our updated guidance also factors in a higher bonus accrual given both our strong year-to-date revenue trends as well as our healthy expectations for the second half of the year. In addition, we anticipate some re-acceleration in marketing spend throughout the remainder of 2025. Overall, we believe our expense guidance range provides flexibility to invest in the business while also positioning us to deliver on our shareholder return objectives.

Looking at our full year guidance more broadly,

- We are increasing our full year total organic net revenue growth guidance range to high single digits from mid to high single digits given our strong first half results.
- We are reaffirming our Data Vantage organic net revenue growth range of mid to high single digits following solid year-to-date trends and a steady outlook for the second half of 2025.
- Our full year guidance range for CapEx remains at \$75 to \$85 million, and we are lowering our expectation for depreciation and amortization to \$53 to \$57 million from \$55 to \$59 million range.
- We continue to expect the effective tax rate on adjusted earnings (under the current tax laws) to come in at 28.5% to 30.5% for the full year.
- And while we don't provide formal guidance on interest income or interest expense, we expect that interest expense, net of interest income, will be approximately \$1 million in the third quarter of 2025.

Slide 16: Efficient Allocation of Capital to Create Long-Term Shareholder Value

On the capital front, we remain pleased with the health of our financial position – exemplified by the \$1.2 billion of adjusted cash on our balance sheet, an attractive debt profile, and a leverage ratio of 1.0x.

In the second quarter, we repurchased \$35 million in shares, bringing year-to-date repurchases to \$65 million. Alongside our share repurchase activity, we returned \$66 million to shareholders in the form of a \$0.63 cent dividend during the quarter. Looking ahead, we remain focused on effectively allocating capital while leveraging our flexible balance sheet and free cash flow profile to produce sustainable shareholder value.

Lastly, I want to provide an update on our investment in the 7Ridge Fund holding Trading Technologies. This week, Trading Technologies announced an investment transaction that is expected to result in Cboe fully exiting its investment in the 7Ridge Fund that currently owns Trading Technologies. The transaction is expected to close in the fourth quarter of 2025 after regulatory clearance. Cboe expects the transaction to result in a gain recorded against the June 30, 2025 carrying value of its investment in the 7Ridge Fund. While I cannot provide any incremental details around the potential gain until the transaction is complete, I will note that consistent with our historical treatment of minority investment gains and losses at sale, we anticipate adjusting out any future impact incurred with the exit of this investment from our non-GAAP metrics.

Now I'd like to turn it back over to Craig for some closing comments before we open it up to Q&A.

Slide 18: Driving Shareholder Value

Thank you, Jill.

While I have only been in the CEO role at Cboe for a few months, I wanted to leave you with some of my early impressions of the company and what you can expect from me and our senior leadership team moving forward.

First, I have been impressed by the power of Cboe's suite of cash, data, and derivatives products, our global presence, and our market-leading technology... all underpinned by a highly-capable management team and associate base. As reflected in today's results, our portfolio of businesses is performing at a very high level.

At the same time, with the continued guidance and support of our Board, we are an organization that remains committed to improving, adapting, and positioning ourselves to deliver more value to shareholders over time. This not only means exploring organic and inorganic investment opportunities around key capabilities but optimizing the growth and profitability in our core businesses. We are committed to bringing a rigorous financial discipline to how we allocate capital - both dollars and people - across the firm. Our decision to close our Japanese equities business was representative of that thought process in action. Moving forward, we remain committed to continually assessing our business portfolio to produce the best long-term returns for shareholders.

As I mentioned, clearly, several areas at Cboe are performing exceptionally well – from Cash to Data to Derivatives. The second quarter was an outstanding one, and the record first half results showcase the power of the business. Heading into the second half of the year, I am energized by the opportunities ahead.

I will now turn the call back over to Ken for Q&A.

Ken

At this point, we'd be happy to take questions. We ask that you please limit your questions to one per person to allow time to get to everyone. Feel free to get back in the queue, and if time permits we'll take a second question.

Cautionary Statements Regarding Forward-Looking Information

This presentation contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995 that involve a number of risks and uncertainties. You can identify these statements by forward-looking words such as “may,” “might,” “should,” “expect,” “plan,” “anticipate,” “believe,” “estimate,” “predict,” “potential” or “continue,” and the negative of these terms and other comparable terminology. All statements that reflect our expectations, assumptions or projections about the future other than statements of historical fact are forward-looking statements. These forward-looking statements, which are subject to known and unknown risks, uncertainties and assumptions about us, may include projections of our future financial performance based on our growth strategies and anticipated trends in our business. These statements are only predictions based on our current expectations and projections about future events. There are important factors that could cause our actual results, level of activity, performance or achievements to differ materially from those expressed or implied by the forward-looking statements.

We operate in a very competitive and rapidly changing environment. New risks and uncertainties emerge from time to time, and it is not possible to predict all risks and uncertainties, nor can we assess the impact of all factors on our business or the extent to which any factor, or combination of factors, may cause actual results to differ materially from those contained in any forward-looking statements.

Some factors that could cause actual results to differ include: the loss of our right to exclusively list and trade certain index options and futures products; economic, political and market conditions; compliance with legal and regulatory obligations; price competition and consolidation in our industry; decreases in trading or clearing volumes, market data fees or a shift in the mix of products traded on our exchanges; legislative or regulatory changes or changes in tax regimes; our ability to protect our systems and communication networks from security vulnerabilities and breaches; our ability to attract and retain skilled management and other personnel, increasing competition by foreign and domestic entities; our dependence on and exposure to risk from third parties; factors that impact the quality and integrity of our and other applicable indices; our ability to manage our global operations, growth, and strategic acquisitions or alliances effectively; increases in the cost of the products and services we use; our ability to operate our business without violating the intellectual property rights of others and the costs associated with protecting our intellectual property rights; our ability to minimize the risks, including our credit, counterparty investment, and default risks, associated with operating our clearinghouses; our ability to accommodate trading and clearing volume and transaction traffic, including significant increases, without failure or degradation of performance of our systems; misconduct by those who use our markets or our products or for whom we clear transactions; challenges to our use of open source software code; our ability to meet our compliance obligations, including managing our business interests and our regulatory responsibilities; the loss of key customers or a significant reduction in trading or clearing volumes by key customers; our ability to maintain BIDS Trading as an independently managed and operated trading venue, separate from and not integrated with our registered national securities exchanges; damage to our reputation; the ability of our compliance and risk management methods to effectively monitor and manage our risks; restrictions imposed by our debt obligations and our ability to make payments on or refinance our debt obligations; our ability to maintain an investment grade credit rating; impairment of our goodwill, long-lived assets, investments or intangible assets; the accuracy of our estimates and expectations; and litigation risks and other liabilities. More detailed information about factors that may affect our actual results to differ may be found in our filings with the SEC, including in our Annual Report on Form 10-K for the year ended December 31, 2024 and other filings made from time to time with the SEC.

We do not undertake, and we expressly disclaim, any duty to update any forward-looking statement whether as a result of new information, future events or otherwise, except as required by law. Readers are

cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date hereof.